

Question 1

Not yet
answered

What is the meaning of domestic absorption in international macroeconomics?

- ☐ a. The sum of final expenditures by households, government, and firms (C+I+G).
- ☐ b. Net exports of the economy.
- ☐ c. The sum of exchange rate elasticity of exports and imports.
- ☐ d. Total investment capacity of our economy.

Question 2

Not yet
answered

Assume that you know the following details about a hypothetical economy: total final consumers' expenditures (C) are equal to \$ 180 bil., total investment expenditures (I) equal \$ 20 bil., total government expenditures on goods and services (G) equal \$ 90 bil. and total taxes collected by the government (T) \$ 85 bil. The total GNP of our economy amounts to \$ 300 bil. Which of the following claims are true?

- ☐ a. We can determine the sign of the traditional balance of trade (it is negative), but we cannot say anything about services.
- ☐ b. The country has a surplus on its balance of trade in goods and services.
- ☐ c. The data provided are not sufficient for the evaluation of the country's balance of trade in goods and services.
- ☐ d. The country has a deficit in its balance of trade in goods and services.

Question 3

Not yet
answered

We know that our model economy has the following structure of the balance of payments: the current account has a surplus equal to 150 billion CZK, capital account has a small deficit -1 bil. CZK, errors and omissions are 0. We also know that that financial account recorded higher outflows out of the country than inflows; the balance of the financial account amounted to -160 bil. CZK.

Which of the following statements are true?

- ☐ a. The country's foreign exchange reserves increased by 11 bil. CZK.
- ☐ b. The country's foreign exchange reserves decreased by 11 bil. CZK.
- ☐ c. The foreign exchange reserves increased by 309 bil. CZK
- ☐ d. The balance of the international investment position of the country (the gap between assets and liabilities) decreased.

Question 4

Not yet
answered

Which of the following transactions would be recorded in the current account of balance of payments? There can be several correct answers - try to find all of them.

- ☐ a. Exports of goods and services.
- ☐ b. Inward and outward portfolio investment.
- ☐ c. Flows of profits (income) from existing foreign investment in our economy (and Czech investment abroad).
- ☐ d. Unilateral private transfers – e.g. alimony paid abroad.

Question 5

Not yet
answered

We know that our model economy has the following structure of the balance of payments: current account has a surplus equal to 305 billion CZK, capital account has a small surplus +5 bil. CZK, errors and omissions are 0. Foreign exchange reserves decreased by 100 bil. CZK. Which of the following statements are true?

- ☐ a. Financial account had a deficit equal to 410 billion CZK
- ☐ b. The country had to be an exporter of capital, i.e. its residents were either increasing claims on non-residents or the residents were decreasing their liabilities.
- ☐ c. The international investment position of the country (the gap between assets and liabilities) decreased.
- ☐ d. Financial account had a surplus equal to 210 billion CZK

Question 6

Not yet
answered

Which of the following transactions would be recorded in the financial account of balance of payments?

- ☐ a. Inward and outward portfolio investment.
- ☐ b. Flows of profits (income) from existing foreign investment in our economy (and Czech investment abroad).
- ☐ c. Unilateral private transfers – e.g. alimony paid abroad.
- ☐ d. Exports of goods and services.

Question 7

Not yet
answered

Assume that you know the following details about a hypothetical economy: total final consumers' expenditures (C) are equal to \$ 190 bil., total investment expenditures (I) equal \$ 25 bil., total government expenditures on goods and services (G) equal \$ 90 bil. and total taxes collected by the government (T) \$ 85 bil. The total GNP of our economy amounts to \$ 305 bil. Which of the following claims are true?

- ☐ a. The country has a deficit in its balance of trade in goods and services.
- ☐ b. The country has balanced trade in goods and services.
- ☐ c. The data provided are not sufficient for the evaluation of the country's balance of trade in goods and services.
- ☐ d. The country has a surplus on its balance of trade in goods and services.

Question 8

Not yet
answered

Which of the following transactions would be considered as debit transactions in a traditional balance of payments?

- ☐ a. Foreign direct investment from the UK to the Czech Republic.
- ☐ b. Decrease in foreign exchange reserves
- ☐ c. Imports of facial masks from China to the Czech Republic
- ☐ d. Portfolio investment: a British investor decides to buy 1% of the equity of an important Czech company.

